

Vaquite Industries, Inc. AUDIT PLANNING SIGNIFICANT AND FRAUD RISK REGISTER	WORKPAPER REF. PL-SAFR PREPARED BY: _____ DATE: _____ REVIEWED BY: _____ DATE: _____
---	---

MANAGEMENT OVERRIDE OF CONTROLS	
CLASSIFICATION	Fraud
ASSERTIONS	occurrence, classification, completeness
WORKPAPERS	journal entries

Management can override otherwise effective controls, making override a presumed fraud risk on every audit.

PLANNED RESPONSE	Test journal-entry population completeness, manual and late entries, estimates, and unusual transactions.
TIMING	year end and the applicable cutoff window
EXTENT	all qualitatively risky items plus the risk-calibrated selection
UNPREDICTABLE ELEMENT	No
PLANNED RESPONSE	Select an unpredictable journal-entry stratum not disclosed to management in advance.
TIMING	year end and the applicable cutoff window
EXTENT	all qualitatively risky items plus the risk-calibrated selection
UNPREDICTABLE ELEMENT	Yes
STATUS	Planned Open

FRAUD RISK IN REVENUE RECOGNITION	
CLASSIFICATION	Fraud
ASSERTIONS	occurrence, accuracy, cutoff
WORKPAPERS	revenue

The revenue-recognition fraud presumption is retained for revenue recognition because timing, occurrence, or measurement could be intentionally misstated.

PLANNED RESPONSE	Corroborate revenue recognition to source evidence and test year-end cutoff and unusual terms.
TIMING	year end and the applicable cutoff window
EXTENT	all qualitatively risky items plus the risk-calibrated selection
UNPREDICTABLE ELEMENT	No
PLANNED RESPONSE	Select an unpredictable revenue recognition stratum, location, or period.
TIMING	year end and the applicable cutoff window
EXTENT	all qualitatively risky items plus the risk-calibrated selection
UNPREDICTABLE ELEMENT	Yes
STATUS	Planned Open

INVENTORY VALUATION	
CLASSIFICATION	Significant
ASSERTIONS	valuation
WORKPAPERS	inventory

Standard costing, overhead absorption, or obsolescence facts create heightened estimation uncertainty in inventory valuation.

PLANNED RESPONSE	Test costing, overhead absorption, obsolescence, and net realizable value using available records.
TIMING	year end and the applicable cutoff window
EXTENT	all qualitatively risky items plus the risk-calibrated selection
UNPREDICTABLE ELEMENT	No
STATUS	Planned Open